

BAT Kenya Plc: FY'21 Earnings Note

BAT announced a minimal 3.10% y/y increase in Revenues to **KES 40.05Bn** lower than our projected 5.0% y/y increase driven by export sales (-2% y/y) declines after regulatory challenges in Uganda and Somalia outweighing muted growth in domestic sales (+1% y/y). However, EPS beat our expectations by growing 17.50% to **KES 64.83** on the back of declines in operating expenses (-9.53% y/y) and finance costs (-52.65% y/y). The board of directors proposed a final dividend of **KES 50.00** taking the total FY'21 dividend to **KES 53.50**. As such we revise our target price to **KES 521.15** representing an 11.43% upside and total return of 22.79%, inclusive of dividends, on the current share price of **KES 468.00** as at 17th February 2022.

- **Strong Brand and Innovation drive revenue growth:** BAT's net revenue grew marginally by 0.35% to **KES 25.43Bn** (our expectation at +7.17% to **KES 27.16Bn)** largely driven by stronger brand growth and improved performance from trading partners. However, the Profit after tax grew by a higher 17.50% on account of improved efficiency as reflected in the operating expenses declining -9.53% to **KES 16.06Bn**. Balance sheet expanded 25.92% to **KES 16.91Bn** attributable to reserve account growth and a 12.91% reduction in current liabilities.
- **Tax tariffs and Illicit trade continue to weigh down on growth:** Total tax paid to the government increased **13.13%** to **KES 17.43Bn** highlighting the strain on bottom line as it represents **43.51%** of Gross revenue. Additionally the rise in tax tariffs can be attributed to the inflationary adjusting effect on excise tax given the high inflation environment in FY'21. Historically, illicit trade has become a chronic wound with 1 in every 5 packets of cigarette currently sold in the market being illicit. We expect the illicit trade to continue at least until engagements with authorities, especially in Uganda, can bare fruits.
- **Lyft to make a comeback in 2022:** Oral Nicotine pouches previously under the brand name –Lyft is set to make a comeback in 2022. Following an earlier suspension by the government the company has been engaging regulatory authorities and increased the factory capacity in preparation of a reintroduction to the market. The new brand name will be –Velo.

Outlook

The impressive numbers were driven by growth in domestic markets coupled with reduced operating expenses. We have a positive outlook on the company driven by volume recovery in some key export markets and continued factory efficiency. However, we remain concerned on the impact of illicit trade and inflationary adjusted increase in tax tariffs given the current elevated global inflation regime. We expect a share price rally in the coming days driven by the attractive dividend payout.

18th February 2022

Current price: KES 468.00

Target price: KES 521.15

Upside: 11.36%

Dividend Yield: 11.43%

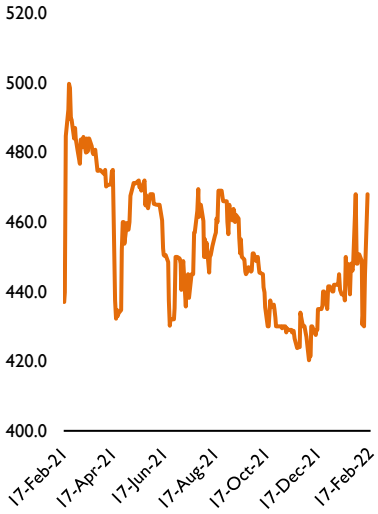
Total Return: 22.79%

YTD Performance: 6.00%

52 Week High: KES 499.75

52 Week Low: KES 420.25

BAT Kenya Plc Share Price



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Key Ratios and Financial Statements Summary

Income Statement	FY'17	FY'18	FY'19	FY'20	FY'21	y/y Change
Net Revenue	18,673	20,750	24,040	25,339	25,428	0.35%
Operating Expenses	(13,165)	(14,479)	(18,102)	(17,750)	(16,058)	(9.53%)
Operating Profit	5,985	6,632	6,278	8,124	9,370	15.34%
Finance Cost	(494)	(338)	(193)	(173)	(82)	(52.65%)
Profit Before Tax	**4,867**	**5,881**	**5,534**	**7,416**	**9,288**	**25.25%**
Income Tax	(1,531)	(1,796)	(1,648)	(1,898)	(2,805)	47.77%
Profit After Tax	**3,336**	**4,085**	**3,886**	**5,517**	**6,483**	**17.50%**
Core EPS	33.36	40.85	38.86	55.17	64.83	17.50%
DPS	26.00	35.00	33.50	41.50	53.50	28.92%

Balance Sheet	FY'17	FY'18	FY'19	FY'20	FY'21	y/y Change
Shareholder Funds	7,840	9,309	9,715	11,856	14,974	26.30%
Non - Current Liabilities	3,391	3,237	1,846	1,576	1,939	23.03%
Total	**11,231**	**12,546**	**11,562**	**13,432**	**16,913**	**25.92%**
Non-Current Assets	9,140	9,123	9,222	10,914	12,305	12.75%
Currrent Assets	8,665	9,216	9,198	10,792	11,814	9.47%
Current Liabilities	(6,575)	(5,792)	(6,859)	(8,274)	(7,206)	-12.91%
Total	**11,231**	**12,546**	**11,562**	**13,432**	**16,913**	**25.92%**

Key Ratios	FY'17	FY'18	FY'19	FY'20	FY'21
Return on Assets (ROA)	18.74%	22.27%	21.09%	29.40%	26.88%
Return on Equity (ROE)	42.55%	43.88%	40.00%	46.54%	43.30%
Operating Profit Margin	32.05%	31.96%	26.12%	32.06%	36.85%
Current Ratio	1.59	1.34	1.83	1.64	1.94

Source: Company filings, AIB-AXYS



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